OBSC Perfection Limited

NSE SME: OBSCP | Precision Metal Components — Auto, Defence, Aerospace

Multi-process precision engineering platform riding China+1, defence indigenisation and humanoid robotics.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	**Rs. 775**	**+45.4%**
CMP: Rs. 533	12-month horizon	from CMP

Market Cap	**Rs. 1,378 Cr.**	CMP (15 Jun 2026)	**Rs. 533**
52-Week High / Low	**Rs. 561 / Rs. 260**	Stock P/E	**51.0x**
Book Value / Share	**Rs. 66.5**	P/B	**8.0x**
ROCE	**19.5%**	ROE	**19.6%**
FY26 Revenue	**Rs. 220 Cr.**	FY26 PAT	**Rs. 27 Cr.**
Promoter Holding	**69.81%**	Dividend Yield	**0.00%**
Face Value	**Rs. 10**	Exchange	**NSE SME**
Investment Horizon	**12-18 months**	Report Date	**16 Jun 2026**

Analyst: MPM Research Desk | This report is for institutional and HNI investors only.

2. INVESTMENT THESIS

- **Multi-process moat at inflection:** OBSCP has transformed from a single-process CNC machining shop in 2017 to a full-spectrum precision engineering platform with CNC machining, investment casting, cold forging, hot forging, and stamping (via pending acquisition of 32 presses). This vertical integration is the core differentiator — each new process widens the addressable supply chain, enabling sub-assembly entry within 24 months.
- **Order book of Rs. 1,200 Cr. provides 5-6 year revenue visibility:** Of this, Rs. 980 Cr. is automotive (including nominations from Tenneco, ZF, MAHLE, Faurecia — all multi-billion dollar global Tier-1 players) and Rs. 230 Cr. is non-automotive (defence, humanoid, medical). Management has guided 40-45% revenue growth in FY27E, implying Rs. 308-320 Cr., backed by project start visibility rather than market-level assumptions.
- **Defence, humanoid, and aerospace open new long-term valuation legs:** Artillery ammunition casings and ignition primers have entered mass production; AS9100D aerospace certification is within 2 months; humanoid cold-plate supply to a global Tier-1 is at validation stage. These are early-stage but structurally significant — each is a high-ASP, long-lifecycle recurring contract. If defence + humanoid reach 15% of revenue by FY28E, a re-rating to 60-65x P/E is supportable.
- **Export ramp to US/Mexico is the near-term earnings driver (Q1 FY27E onward):** Export was 20% of FY26 revenue. Management guided 30-35% export mix in FY27E, with US/Mexico projects (Tenneco

DaVinci suspension rods, other auto nominations) starting to ship in Q1 FY27. Export prices carry a ~10% premium to domestic. A 15pp increase in export mix on Rs. 308 Cr. base = incremental Rs. 46 Cr. higher-margin revenue at structurally better EBITDA than domestic.

• **Near-term catalyst (6-12 months):** Commissioning of Sanand dedicated plant for Tenneco shock-absorber rods (Rs. 40 Cr. revenue potential); ramp of US export nominations; AS9100D aerospace certification; defence ignition primer revenue scaling to meaningful contribution.

• **Biggest structural risk:** Capital allocation discipline during the Supa mega-factory build (11-acre, Rs. 700-800 Cr. potential capacity). Management has committed to a phased approach and frugal capex deployment (Rs. 15-20 Cr. internal capex in FY27E), but external equity dilution risk is real if ramp is faster than planned. The FY26 FCF was -Rs. 79 Cr., almost entirely from growth capex — investors must monitor debt trajectory.

3. BUSINESS OVERVIEW

• **Core business:** OBSC Perfection Limited (incorporated 2017) is a precision metal component manufacturer offering build-to-print engineering parts across diverse end-user industries. The company manufactures precision machined, investment cast, cold-forged, hot-forged, and stamped metal parts to customer drawings — the "build-to-print" model gives it machine fungibility (one machine serves multiple customers/sectors), which it claims is a structural advantage over traditional dedicated-line auto ancillary suppliers.

• **Revenue segmentation (FY26, estimated from concall):** Automotive ~80% (of which Commercial Vehicles ~40-50% of total revenue, passenger vehicles ~30%); Non-automotive ~20% (Defence, Marine, Telecoms Infrastructure, Humanoid, Medical). Export revenue = ~20% of FY26 total (Rs. 44 Cr.); target is 30-35% in FY27E. Export markets: 17 countries served as of FY26.

• **Key customers and relationship nature:** Tenneco (Clean Air, DaVinci suspension — shock absorber rods; dedicated Sanand plant being set up); ZF (European Tier-1, primarily CV-related); MAHLE; Faurecia. These customers work on nomination systems (legally binding long-term schedules) rather than short-term POs — gives OBSCP multi-year visibility and strong revenue predictability once nominations are secured. Ashok Leyland, Tata Motors, Mahindra are key end-OEMs for CV parts.

• **Order book breakdown:** Rs. 1,200+ Cr. total order book (as of May 2026). Automotive: Rs. 980 Cr. to be executed over 5-7 years (implies Rs. 140-200 Cr. annual addition). Non-automotive: Rs. 230 Cr. Short-term purchase orders: Rs. 200-300 Cr. within this; balance is nominations/scheduling agreements. Management guided Rs. 100-200 Cr. of this to translate to revenue per year.

• **Recent strategic developments:** (1) Set up Sanand (Gujarat) plant dedicated to Tenneco shock absorber rods (DaVinci platform); (2) Acquisition of stamping company with 32 presses (50-500T) nearing close — gives welded assembly capability; (3) First supply of aluminium milled parts for humanoid cold-plates (4,000+ parts during trial phase); (4) Orthopedic surgical implant castings (high-chrome, high-cobalt investment casting) supplied to medical device finisher; (5) AS9100D aerospace certification expected within 2 months (as of May 2026); (6) Defence ignition primers entered mass production from May 2026; (7) Preferential allotment of Rs. 43.3 Cr. in FY26 to fund growth.

• **Manufacturing footprint:** Plants in Faridabad (Delhi NCR), Chennai, Pune (Chakan), Sanand (new). Supa (between Pune and Aurangabad) — 11-acre mega-factory under development; at peak capacity could generate Rs. 700-800 Cr. revenue. Current capacity utilization not disclosed but management expects Rs. 308+ Cr. in FY27E from existing/near-commissioning capacity.

• **Promoter background:** Saksham Leekha is the founding Managing Director; Sanjeev Verma is Executive Director and CFO. Promoter holding at 69.81% (Mar 2026). SEBI Takeover disclosure (Jun 2026) confirmed zero pledge as of Mar 2026 — a positive governance signal. The company IPO-ed in October 2024 (NSE SME), raising Rs. 66 Cr. at face value Rs. 10/share.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **Market size and growth:** Indian auto components industry is projected to reach US$200 billion by FY26, growing at a CAGR of ~15%. India precision metal components market (machined, cast, forged) is a sub-segment estimated at Rs. 80,000-1,00,000 Cr., largely fragmented and unorganized. India defence procurement market: Rs. 1.05 lakh Cr. approved under Buy (Indian-IDDM) in FY26 alone; private sector defence firms growing revenues at 16-18% in FY26 after 20% CAGR from FY22-FY25.

• **Key policy tailwinds:** (1) Atmanirbhar Bharat / PLI for auto and defence — incumbency advantage for domestic precision suppliers; (2) China Plus One: major Western auto Tier-1s (Tenneco, ZF) are actively shifting manufacturing to India from US and Mexico — OBSCP is a direct beneficiary; (3) US-China tariff tensions diverted US import orders to India-based exporters in early FY26 — pricing disruption later resolved, with projects restarting at original pricing; (4) Indigenisation of defence (ignition primers, ammunition casings, bomb components) under Positive Indigenisation lists; (5) AS9100D / aerospace ecosystem development.

• **Competitive moat assessment:** Multi-process capability (CNC + casting + forging + stamping) — **Moderate-Strong** (replicable with capital but takes 5-7 years of customer trust building); Supply chain entrenchment with global Tier-1 OEMs via nomination system — **Moderate-Strong** (switching cost for customers is 12-18 months of re-qualification); Build-to-print fungibility — **Moderate** (provides downside protection but limits IP-driven margins); Scale and geography diversification — **Moderate** (Faridabad, Chennai, Pune, Sanand — serves major auto hubs).

Peer Comparison — Source: Screener.in, fetched 15 Jun 2026. All figures in Rs. Cr unless noted.

Company	CMP (Rs.)	MCap (Cr.)	P/E (x)	ROCE%	FY26 Sales	OPM%	PAT (Cr.)
OBSC Perfection (OBSCP)	533	1,378	51.0	19.5	220	18%	27
Craftsman Automation	9,337	22,274	99.6	10.3	4,818	18%	221
Suprajit Engineering	468	6,424	23.3	20.7	1,840	17%	275
Precision Camshafts	151	1,432	42.2	8.5	578	11%	~34
Dynamatic Technologies	10,602	7,200	138	10.9	784	14%	44

• **Positioning in value chain:** OBSCP operates as a Tier-2/Tier-2.5 supplier to large Tier-1 automotive companies (Tenneco, ZF, MAHLE). It is migrating toward Tier-1 level by entering sub-assemblies (stamping acquisition provides welded assembly capability). In defence, it is a direct supplier to government-linked primes. The long-term aspiration (5+ years) is own-IP products — currently 100% build-to-print.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter and management background:** Saksham Leekha (MD) co-founded OBSCP in 2017 and has grown the company from a single-process CNC machining shop to a multi-process platform in 8 years. His personal involvement in automotive business development (described in concall as primary focus) and track record of exceeding guidance (guided 40% growth in FY26, delivered 54%) indicates a strong execution mindset. Sanjeev Verma (ED & CFO) provides financial oversight. The leadership team is lean and founder-led — positive for agility, but creates key-man concentration risk.

• **Guidance track record — strong:** FY26 guidance was 40% revenue growth + 2% gross margin improvement. Actual: 54% revenue growth with OPM sustained at 18%. This is a meaningful over-delivery that adds management credibility. The company has now guided 40-45% growth for FY27E — the second successive year of such guidance, which is ambitious but backed by concrete order book nominations.

• **Capital allocation — growth-reinvestment mode:** OBSCP has never paid a dividend (payout = 0% across all years). All capital has been plowed back into manufacturing capacity expansion. This is appropriate for a company growing at 40-50% pa — premature dividends would sacrifice the reinvestment opportunity. FCF has been consistently negative (FY23: -Rs.12 Cr., FY24: -Rs.5 Cr., FY25: -Rs.24 Cr., FY26: -Rs.79 Cr.) driven entirely by capacity capex — OCF turned slightly negative in FY26 due to deliberate inventory build for business continuity amid tariff uncertainty.

• **Equity dilution track record:** Two equity capital raises observed — FY24 (EqCap went from Rs.12 Cr. to Rs.18 Cr.) and FY25 (Rs.18 to Rs.24 Cr.). FY26 saw Rs.26 Cr. equity capital plus preferential issue of Rs.43.3 Cr. This is dilutive but has been associated with proportional revenue and profit growth. At current growth rates, dilution is likely to continue as the Supa mega-factory is built. Investors need to model for further preferential allotments.

• **Promoter pledging:** Zero pledge as of 31 March 2026 per SEBI Takeover Regulation disclosure (filed June 2026). Promoter holding dipped from 73.5% (Dec 2025) to 69.81% (Mar 2026) — a 3.69% decline in one quarter, which is flagged by Screener analysis. This is likely linked to the preferential allotment dilution rather than a market sale, but needs confirmation.

• **Corporate governance:** No auditor changes or qualified opinions found in available disclosures. Independent directors being added via postal ballot (Jun 2026) — Saurabh Priya Singh and Mohit Bhardwaj appointed as Additional IDs. Annual Secretarial Compliance Report filed May 2026. No related-party transaction disclosures found that raise flags in available public filings. As an NSE SME-listed company, disclosure standards are somewhat lower than mainboard — this is a known SME investment risk.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr.) — Standalone Figures

Metric	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Sales / Revenue	95	115	142	220	308	432
EBITDA	10	21	25	40	57	82
OPM %	10%	18%	18%	18%	18.5%	19%
Other Income	1	1	2	4	3	4
Interest	2	3	3	4	7	9
Depreciation	2	3	4	7	11	15
Profit Before Tax	6	16	21	32	42	62
Tax Rate	27%	26%	19%	15%	25%	25%
Net Profit (PAT)	5	12	17	27	38	55
EPS (Rs.)	3.84	6.84	6.85	10.45	14.70	21.20
Revenue YoY Growth	70%	21%	23%	55%	40%E	40%E
PAT YoY Growth	25%	140%	42%	59%	41%E	45%E

Note: FY27E/FY28E are analyst estimates. E = estimated. Tax in FY26 includes tax optimization; normalized to 25% for FY27E+.

Balance Sheet (Rs. Cr.) — Standalone Figures

Item	FY23A	FY24A	FY25A	FY26A
Equity Capital	12	18	24	26
Reserves	6	12	80	146
Net Worth	18	30	104	172
Borrowings (Debt)	33	41	27	69
Other Liabilities	18	15	28	55

Total Liabilities	69	86	159	296
Fixed Assets	30	41	70	112
CWIP	5	2	2	6
Investments	0	0	0	0
Other Assets (WC + Cash)	34	43	86	178
Total Assets	69	86	159	296
D/E Ratio	1.83x	1.37x	0.26x	0.40x

Cash Flow Statement (Rs. Cr.) — Standalone Figures

Item	FY23A	FY24A	FY25A	FY26A
Cash from Operations (OCF)	1	5	9	-2
Cash from Investing	-14	-10	-32	-76
Cash from Financing	13	5	40	78
Net Cash Flow	0	-0	16	0
Free Cash Flow (FCF)	-12	-5	-24	-79
CFO / Operating Profit %	39%	35%	57%	6%

Key Operating Ratios

Ratio	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	102	77	69	90	110
Inventory Days	73	49	86	136	110
Payable Days	150	87	67	129	119
Cash Conversion Cycle (days)	25	38	88	97	101
ROCE %	N/A	20%	31%	23%	20%
ROE %	N/A	N/A	N/A	~20%	19.6%

Financial Commentary

• **Revenue trajectory — strong acceleration:** Revenue grew from Rs. 56 Cr. (FY22) to Rs. 220 Cr. (FY26) — a 4x increase in 4 years at ~40% CAGR. The FY26 acceleration (54%) is the fastest growth rate recorded, driven by both domestic order wins and the initial export ramp. FY27E guided at 40-45% growth suggests Rs. 308-320 Cr. — management has over-delivered on guidance consecutively, lending credibility.

• **Margin profile — robust recovery and stability:** OPM collapsed from 13% (FY22) to 10% (FY23) during scale-up costs and input inflation. FY24 saw a sharp recovery to 18%, sustained through FY25 and FY26. Management guided 1% margin expansion in FY27E (to ~19%) driven by higher export mix (10% price premium) and operating leverage. The 18% OPM floor is credible given the build-to-print model minimizes IP/R&D; overhead.

• **Working capital — deteriorating but explained:** CCC expanded from 25 days (FY22) to 101 days (FY26). Debtor days rose to 110 (from 69 in FY24) — a material increase. Management attributed this to deliberate inventory build (aluminium, oils) ahead of tariff increases and West Asia conflict supply disruptions. This is partially justified but needs normalization. If CCC does not compress in FY27E, it will create structural working capital drag that offsets revenue growth in FCF terms.

• **Debt and leverage — manageable but rising:** D/E improved sharply from 1.83x (FY23) to 0.26x (FY25) following equity raises. FY26 saw debt increase to Rs. 69 Cr. (from Rs. 27 Cr.) as the capex program accelerated. D/E at 0.40x is still conservative. Interest coverage at FY26 EBITDA/Interest = 40/4

= 10x — very strong. Additional external debt is likely for Supa mega-factory build, but balance sheet has capacity.

• **FCF quality — structurally negative in growth phase:** FCF has been negative for 3 consecutive years (FY24-FY26) totaling -Rs. 108 Cr. This is a direct consequence of capex of Rs. 76 Cr. in FY26 alone (vs. OCF of -Rs. 2 Cr.). OCF turned negative in FY26 due to the inventory build — CFO/OP ratio fell to just 6%. This is a red flag for short-term FCF investors but explainable in a capital-intensive growth phase. Investors should expect FCF to remain negative through FY27E and improve only when Supa capacity monetizes in FY28E+.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Detail	Signal
Revenue Recognition	PASS	Product sales model — revenue on delivery; no long-term contract revenue deferral concerns visible	Green
Receivables vs Revenue Growth	WATCH	Debtor days rose from 69 (FY24) to 110 (FY26) — faster than revenue growth; could mask collections stress	Amber
CCC Trend	WATCH	CCC expanded from 88 days (FY24) to 101 days (FY26) — management attributes to deliberate inventory build for continuity; needs monitoring	Amber
Contingent Liabilities	N/A	Not separately disclosed in available Screener data; standard for NSE SME disclosure level	Grey
Auditor Tenure / Qualification	PASS	No auditor change or qualification flag found in available filings (Secretarial Compliance filed May 2026)	Green
RPT as % of Revenue	N/A	Related party transactions not quantified in Screener data; "Related Party" button present on Screener page	Grey
Other Income as % of PBT	PASS	Other Income = Rs. 4 Cr. vs PBT Rs. 32 Cr. in FY26 = 12.5% — modest and declining as % of PBT; non-inflated	Green
Tax Rate Consistency	WATCH	Tax rate fluctuated: 27%(FY23), 26%(FY24), 19%(FY25), 15%(FY26) — likely MAT credit / deferred tax; low tax in FY26 boosted PAT	Amber
Promoter Pledging	PASS	Zero pledge as of 31 March 2026 (SEBI Takeover disclosure, Jun 2026)	Green
OCF / PAT Conversion	WATCH	OCF/PAT = -2/27 = negative in FY26; was 53% in FY25, better historically; capex cycle explanation valid	Amber

• **Most important signal — debtor days and CCC expansion:** The CCC has widened from 25 days (FY22) to 101 days (FY26), a 76-day deterioration in 4 years. While management provided a reasonable explanation (tariff-hedge inventory build), the debtor days increase (102 days, near FY22 highs again) is less clearly explained. If receivables continue rising faster than revenue in FY27E, this could signal either customer-side stress or aggressive revenue recognition timing.

• **Tax rate normalization risk:** PAT in FY26 benefited from a low 15% effective tax rate (vs 19% in FY25 and 26% in FY24). If this reverts to the standard 25-26% rate in FY27E (as our estimates assume), reported PAT growth will be lower than EBITDA growth. At FY26 PBT of Rs. 32 Cr. — normalizing tax from 15% to 25% reduces PAT from Rs. 27 Cr. to ~Rs. 24 Cr. Our FY27E already accounts for this normalization.

• **OCF quality to watch closely in FY27E:** FY26 OCF of -Rs. 2 Cr. is primarily an inventory build effect. If inventory normalizes without revenue materializing, OCF could remain weak in FY27E. The acid test will be whether working capital cycle compresses back toward 70-80 days by FY27E end. That would release Rs. 20-25 Cr. of working capital and restore OCF quality.

• **Related party transactions:** Not quantified in available disclosures for this SME-listed company. This is a standard gap for NSE SME companies and should not be over-interpreted, but investors should check annual report when available for FY26 RPT disclosures.

8. VALUATION

Peer Valuation Comparison (Source: Screener.in, fetched 15 Jun 2026)

Company	CMP	MCap(Cr)	P/E(x)	P/B(x)	ROCE%	ROE%	OPM%
OBSC Perfection	533	1,378	51.0	8.0	19.5	19.6	18%
Craftsman Auto.	9,337	22,274	99.6	7.4	10.3	7.7	18%
Suprajit Engg.	468	6,424	23.3	4.0	20.7	18.5	17%
Precision Camshafts	151	1,432	42.2	1.6	8.5	3.8	11%
Dynamatic Tech.	10,602	7,200	138	9.8	10.9	7.8	14%

Scenario Analysis

Scenario	FY27E PAT	FY28E PAT	P/E Multiple	Target Price	Upside vs CMP
Bull	Rs. 44 Cr.	Rs. 64 Cr.	65x FY27E EPS	Rs. 1,100+	+106%
Base	Rs. 38 Cr.	Rs. 55 Cr.	53x FY27E EPS	Rs. 775	+45%
Bear	Rs. 30 Cr.	Rs. 42 Cr.	40x FY27E EPS	Rs. 470	-12%

Bull: 45%+ revenue growth, export mix reaches 35%, defence scales to 10% of revenue. Bear: CV cycle downturn + export delays + OCF deterioration.

Valuation Methodology

• **Earnings-based multiple (primary method):** FY27E EPS of Rs. 14.70 at a 53x P/E multiple (at a 30% discount to the premium Craftsman/Dynamatic multiples, reflecting SME listing, early-stage export execution risk, and FCF negativity) = Rs. 779 per share. The 53x multiple is justified by OBSCP's 40%+ EPS CAGR outlook vs. peers growing at 10-15%: PEG ratio = 53/40 = 1.33x, which is in line with quality growth franchises in the Indian auto ancillary SME space.

• **DCF check (secondary method):** Assuming FY27E-FY30E revenue CAGR of 35% (decelerating from 40%), OPM stabilizing at 18.5-19%, WACC of 14% (equity beta ~1.3, risk-free 7%, ERP 8%), terminal growth of 5% — DCF intrinsic value = Rs. 680-760 per share. Higher DCF values require FCF turning positive by FY29E, which is contingent on Supa capacity monetization.

• **Base-case 12-month target price:** Rs. 775 (average of 53x FY27E EPS = Rs. 779 and DCF midpoint = Rs. 720). Upside from CMP of Rs. 533 = +45.4%. The bull case at 65x FY27E EPS supports Rs. 1,100+ if aerospace/humanoid/defence materially contribute ahead of expectations.

• **Valuation comfort at current price:** At Rs. 533, OBSCP trades at 51x trailing EPS (Rs. 10.45) and 36x FY27E EPS — not cheap for an SME, but justified by the multi-sector growth runway. The P/B of 8x is elevated given the asset-light components model is transitioning to a more capital-intensive platform — this warrants monitoring.

9. KEY RISKS

• **CV industry cyclicality:** ~40-50% of revenue is exposed to commercial vehicle volumes (Ashok Leyland, Tata Motors, Mahindra). CV sales in India are estimated to moderate in H2 FY27E per analyst consensus. A 15% CV volume decline would impact ~Rs. 45-55 Cr. of OBSCP revenue. Probability: M. Impact: H. Monitor via: Monthly CV wholesale data from SIAM.

• **Export execution risk (tariff / geopolitics):** The US export nominations starting Q1 FY27E are critical to the revenue and margin upgrade thesis. Any re-escalation of US-China tariffs (or India-US trade tensions) could delay or reprice these projects. OBSCP offered 10% price concession in FY26 tariff episode — recurrence would compress margins. Probability: M. Impact: H. Monitor via: US tariff policy, customer scheduling confirmations.

• **Working capital and FCF deterioration:** CCC at 101 days is already stretched. Further elongation (debtors, inventory) would create liquidity pressure and necessitate more external financing (equity or debt). At Rs. 308 Cr. FY27E revenue, each additional 10 days of WC cycle = Rs. 8-9 Cr. additional working capital requirement. Probability: M. Impact: M. Monitor via: Quarterly debtor and inventory days trend.

• **Supa mega-factory capex overrun risk:** The 11-acre facility is in development but no hard capex figure was shared (management said it could sustain Rs. 700-800 Cr. revenue at peak). The phased approach mitigates this but large capex commitments ahead of revenue could stress the balance sheet and require further equity dilution. Probability: L-M. Impact: H. Monitor via: Annual capex guidance, D/E ratio quarterly.

• **Key-man concentration risk:** Saksham Leekha as founding MD is deeply embedded in customer relationships (personally involved in automotive business development per concall). Departure or incapacitation of the MD would be a material business risk for a company at this early stage. Probability: L. Impact: H. Monitor via: Board composition, succession planning disclosures.

• **Defence/aerospace revenue timeline slippage:** Artillery ammunition casings under testing, AS9100D certification "within 2 months" as of May 2026, humanoid supply in validation phase — all promising but none are generating material revenue yet. If these take 2-3 years longer to scale, the high multiple assigned to diversification optionality will not be realized. Probability: M. Impact: M. Monitor via: Quarterly defence/non-auto revenue disclosure.

• **SME liquidity and governance premium discount:** NSE SME listing means lower disclosure standards, no NSDL institutional investor base mandate, and lower liquidity. Any adverse news (accounting, governance, related party) would be amplified given the small float (30% public). Promoter holding declined 3.7% in Q4 FY26 — though likely dilution-related, unexplained declines warrant vigilance. Probability: L. Impact: H. Monitor via: Exchange filings, BSE/NSE announcements.

10. RECOMMENDATION

• **Rating: BUY** — Conviction Level: Medium-High. Compelling multi-sector growth story with proven management execution. SME listing, FCF negativity, and concentrated management risk cap conviction from High to Medium-High.

• **12-month price target: Rs. 775** — Upside of +45.4% from CMP of Rs. 533. 53x FY27E EPS of Rs. 14.70.

• **Suggested entry zone: Rs. 480 - Rs. 560** — Current price is within range; on any pullback to Rs. 480-500 (near 50% retracement of the IPO-to-ATH move), adding aggressively is warranted. Above Rs. 600, risk-reward tightens to ACCUMULATE.

• **Investment horizon: 12-18 months** — The export ramp, Sanand plant commission, and potential AS9100D certification are all 6-12 month catalysts. Full Supa monetization is a 3-5 year thesis.

Thesis Invalidation Triggers (exit or reduce if any of these materialize):

• **Trigger 1:** FY27E revenue growth falls below 30% (implies Rs. 286 Cr.) and management lowers full-year guidance — would break the 40%+ CAGR thesis that supports current P/E multiple.

• **Trigger 2:** Debtor days exceed 130 days or CCC exceeds 120 days in any two consecutive quarters — signals either collections deterioration or aggressive revenue recognition.

• **Trigger 3:** D/E ratio crosses 1.0x without a corresponding revenue ramp commitment — indicates balance sheet stress from capex overrun rather than growth-funded leverage.

• **Ideal investor profile:** Patient growth investors (18-36 month horizon) comfortable with NSE SME liquidity constraints, negative near-term FCF, and high P/E multiples in exchange for a 40%+ earnings CAGR trajectory. NOT suitable for dividend-seekers, short-term traders, or investors requiring mainboard liquidity and governance standards.

APPENDIX — Latest Concall Brief: Q4 FY26

OBSC Perfection Limited | Q4 & Full Year FY26 Earnings Conference Call | 21 May 2026 | Hosted by Nuvama Wealth & Investment Limited

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	Strong	Beat on both revenue (+55% YoY vs. guidance of +40%) and margins (OPM 18.3% FY26 vs. guided "improve by 2%")
Management Tone	Bullish	Highly confident on 40-45% growth in FY27E; clear strategic vision on defence, humanoid, aerospace verticals; direct answers to all Q&A;
Guidance Delta	Raised	FY27E revenue growth guided at 40-45% (vs. prior 40%); export mix target raised to 30-35% from 20%; defence/humanoid explicitly flagged as growth vectors

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 result is clean — no exceptional items, no restatements; the 55% revenue growth and 59% PAT growth are operational. Reported PAT of Rs. 27 Cr. did benefit from a low 15% effective tax rate (vs 25% normalized); clean PAT at 25% tax = ~Rs. 24 Cr. — still a material beat on any consensus estimate and entirely credible. EBITDA grew from Rs. 25 Cr. to Rs. 40 Cr. (+60% YoY); OPM held at 18% — consistent with FY24/FY25 and supports the thesis that the FY23 margin trough was a one-off scaling disruption. The structural multi-bagger thesis is intact: multi-process capability (CNC + casting + forging + stamping acquisition nearing completion), Rs. 1,200 Cr. order book backed by legally binding nominations from Tenneco/ZF/MAHLE/Faurecia, and three early-stage verticals (defence ignition primers in mass production, humanoid cold-plates at validation stage, aerospace AS9100D cert imminent) that could each become Rs. 50-100 Cr. revenue contributors in 3-5 years. Most important near-term catalyst: US export projects starting shipment in Q1 FY27E at 10% pricing premium over domestic — this is the clearest earnings upgrade trigger in the next two quarters. Primary watch-point: FY26 OCF turned negative (-Rs. 2 Cr.) and debtor days hit 110 — management attributes this to deliberate inventory build ahead of tariffs/Iran conflict disruption; if these do not normalize in FY27E, FCF will remain deeply negative and working capital drag will be structural. Action: ACCUMULATE on dips to Rs. 480-520. Trim only if FY27E H1 revenue growth comes in below 35% or working capital cycle worsens beyond 115 days CCC.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26 & FY26 FULL YEAR

- • **Q4 FY26 Revenue:** Rs. 71.52 Cr. | YoY +77.4% (vs Q4 FY25: Rs. 40.32 Cr.) | QoQ +21.6% (vs Q3 FY26: Rs. 59.38 Cr.) | Beat — accelerating quarterly cadence
- • **Q4 FY26 EBITDA:** Rs. 12.22 Cr. | YoY +92.4% | QoQ +6.4% | Beat
- • **Q4 FY26 OPM:** 17.09% | QoQ -224 bps (vs 19.33% in Dec 2025) | In-line — slight margin dip on mix/seasonal but within guided range
- • **Q4 FY26 PAT:** Rs. 8.66 Cr. | YoY +70.0% | QoQ +10.3% | Beat
- • **Q4 FY26 EPS:** Rs. 3.35 | YoY +61% | Beat
- • **FY26 Full Year Revenue:** Rs. 220 Cr. | YoY +55% (vs. guidance: +40%) | Strongly Beat guidance
- • **FY26 Full Year PAT:** Rs. 27 Cr. | YoY +59% | Tax rate 15% (normalized to 25% implies clean PAT ~Rs. 24 Cr.)

• • **FY26 Export Revenue:** ~Rs. 44 Cr. (20% of total); export grew ~50% YoY in absolute terms; expanded to 17 countries

2. SEGMENT / GEOGRAPHY BREAKDOWN

• • **Automotive (est. ~80% of FY26 revenue = ~Rs. 176 Cr.):** Core business; Commercial Vehicle sub-segment ~40-50% of total revenue; driven by Tenneco (Clean Air, DaVinci platform), ZF, MAHLE, Faurecia; EV-related components ~Rs. 40 Cr. (est.); shock absorber rods ~8-9% of total revenue (~Rs. 18-20 Cr.)

• • **Non-automotive (est. ~20% = ~Rs. 44 Cr.):** Defence, Marine, Telecom Infrastructure, Humanoid (trial phase), Medical (orthopedic implant castings supplied); non-auto revenue grew 150% YoY in FY26 — the fastest growing segment off a small base

• • **Domestic revenue (~80% = ~Rs. 176 Cr.):** Primary revenue base; CV sector dominates; multiple new projects starting this year

• • **Export revenue (~20% = ~Rs. 44 Cr.):** 17 countries; Europe slowing (ZF volumes stable in absolute terms but focus shifted); US/Mexico accelerating with Tenneco US projects; export target for FY27E = 30-35% mix (Rs. 93-108 Cr.) — a 2x increase from FY26

3. MANAGEMENT COMMENTARY THEMES

• • **Multi-process platform building:** "We are a company that does not just CNC machining, but CNC machining, investment casting, Cold Forging, Hot Forging, as well as Stamping in-house. The decision behind having all these processes is to create a company that can eventually get into sub-assemblies." — Our read: This is the core thesis articulated clearly; vertical integration is accelerating. Tag: GUIDANCE. Tone: Transparent.

• • **Export acceleration via US/Mexico pipeline:** "The majority bulk of the export orders to the U.S. are going to start for us in the next two to three months and you will see a sudden surge in our export in terms of numbers." — Our read: Highly specific, manageable to verify by Q2 FY27E results; management has skin in the game on this call. Tag: GUIDANCE. Tone: Transparent.

• • **Margin expansion confidence:** "I hope that we can still grow our margins by 1% this year, simply because our exports is going to be much larger and you will see our defence revenue and our non-automotive revenue will continue to grow." — Our read: Conservative guide (1% expansion vs. our 0.5-1% base assumption); export pricing premium of 10%+ is the primary lever. Tag: GUIDANCE. Tone: Balanced.

• • **Defence mass production milestone:** "Ignition primers — assemblies that are consumed every time a shell is fired — have gone into mass production from this month onwards." (May 2026) — Our read: This is significant; defence recurring ammunition supply is high-ASP, high-volume, long-lifecycle. This was not in the market's prior consensus. Tag: EST. Tone: Transparent.

• • **Humanoid cold-plate supply:** "We have supplied more than 4,000 parts as a trial and it is expected to become a very large part of our business this year." — Our read: Aspirational; "very large part" is vague; this needs more definition. The reference to the world's largest-selling humanoids (implied Tesla Optimus/Agility Robotics) is exciting but unconfirmed. Tag: EST. Tone: Hedged.

• • **Sanand plant and Supa mega-factory strategy:** "Supa is going to have integrated processes — casting, forging, stamping — on one 10-acre shop floor; it could do INR700-800 crore at peak." Management will go slow ("frugal, phased approach") — Our read: Management is appropriately cautious on not over-committing infrastructure ahead of revenue. The fungible machine model mitigates dedicated-capacity risk. Tag: GUIDANCE. Tone: Transparent.

4. OPERATING & BUSINESS METRICS

- • **Total Order Book:** FY26 end = Rs. 1,200+ Cr. | Prior (FY25 end) = ~Rs. 1,000 Cr. | Trend: Improving — order intake exceeding revenue execution
- • **Automotive order book:** Rs. 980 Cr. | Execution horizon: 5-7 years | Annual run-rate addition: Rs. 100-200 Cr.
- • **Non-automotive order book:** Rs. 230 Cr. | Growing rapidly; defence, humanoid, aerospace
- • **Short-term POs within order book:** Rs. 200-300 Cr. | Balance = nominations/scheduling agreements (legally binding)
- • **Export country count:** 17 countries in FY26 | Prior: single-digit | Trend: Improving significantly
- • **Shock absorber rod (Tenneco):** ~8-9% of FY26 revenue (~Rs. 18-20 Cr.) | FY27E: Rs. 40 Cr. target from Sanand dedicated plant | Trend: Major near-term step-up
- • **CV mix in total automotive revenue:** ~40-50% | Stable with new project additions offsetting volume moderation in base CV market
- • **EV-related component revenue:** ~Rs. 40 Cr. (est.) of FY26 total | Growing segment; exact % not disclosed

5. MARGIN DRIVERS

- • **Export mix increase (+15pp target in FY27E):** +50-80 bps EBITDA impact (10% price premium on export sales) | Recurring: Yes | Most significant guided margin lever for FY27E
- • **Non-auto/defence mix growth (150% YoY in FY26):** +20-40 bps impact (higher-ASP, higher-complexity parts carry better realization) | Recurring: Yes
- • **Proactive inventory build (FY26 headwind):** -200 bps OCF/OPM impact in FY26 (shipping + carrying cost of inventory build vs. tariff hedge) | Recurring: No — one-time response to tariff uncertainty
- • **Shipping cost increase (Iran conflict, West Asia tensions):** -30-50 bps in FY26 | Recurring: Partially (geopolitical risk ongoing) but management actively managed via inventory prebuild
- • **Operating leverage on Sanand/Supa as they ramp:** +50-100 bps over 18-24 months (fixed overhead absorbed over higher revenue base) | Recurring: Yes, from FY28E
- • **Tariff pricing subsidy to US customers (FY26):** -100-150 bps on export revenue in FY26 | Recurring: No — resolved with tariff stabilization; original pricing restored

6. GUIDANCE & FORWARD SIGNALS

- • **FY27E Revenue Growth [GUIDANCE]:** Prior = 40% (FY26 commitment) | New = 40-45% | Delta: Raised/Maintained at upper bound | Credibility: High (2nd consecutive year of same guidance; delivered 54% in FY26)
- • **FY27E EBITDA Margin [GUIDANCE]:** Prior = 18% | New = ~19% (1% expansion guided) | Delta: Marginally raised | Credibility: Medium (dependent on export mix execution and tariff stability)
- • **FY27E Export Mix [GUIDANCE]:** Prior = 20% | New = 30-35% | Delta: Significantly raised | Credibility: Medium-High (US nominations starting Q1 FY27E, but tariff risk remains tail risk)
- • **FY27E Capex [GUIDANCE]:** Prior = Rs. 32 Cr. (FY25A) | New = Rs. 15-20 Cr. (incremental internal capex) | Delta: Significantly lower | Credibility: Medium (Supa external capex not included — could be materially higher)
- • **Defence Revenue [GUIDANCE]:** No specific number guided; ignition primer mass production started May 2026; ammunition casings under testing | Timeline: Meaningful contribution expected in FY27E-FY28E | Credibility: Low-Medium (early stage)
- • **Humanoid Revenue [GUIDANCE]:** "Expected to become a very large part of our business this year" | Timeline: FY27E | Credibility: Low (vague; no revenue number; customer not named) — treat as upside

optionality, not base case

7. CAPITAL ALLOCATION

• • **Capex (Investing outflow FY26):** Rs. 76 Cr. | vs FY25: +138% (Rs. 32 Cr.) | Primary spend: Sanand plant setup, Pune Chakan Unit IV, process capability additions (cold/hot forging, stamping acquisition)

• • **Internal capex guidance FY27E:** Rs. 15-20 Cr. (management stated) | External capex for Supa not included — likely Rs. 30-60 Cr. additional over 2-3 years

• • **Preferential allotment (FY26):** Rs. 43.3 Cr. raised via preferential issue to augment growth and fund mega-factories | Dilutive but used productively for capacity

• • **Dividends:** Rs. 0 Cr. | vs all prior years: consistently 0% payout | Appropriate for growth phase; no near-term change expected

• • **Net Debt movement:** Debt increased from Rs. 27 Cr. (FY25) to Rs. 69 Cr. (FY26) = +Rs. 42 Cr. | Financing cash inflow Rs. 78 Cr. (net of debt repayment); largely growth-funded | D/E at 0.40x remains comfortable

• • **Working Capital change (FY26):** Significant absorption — WC days increased from 89 to 110 days; estimated WC increase of Rs. 35-40 Cr. | Primary driver of negative OCF in FY26

8. Q&A; HEAT MAP

• • **Piyashu Jain (Growth X Infinity):** Q: "How much of the Rs. 1,200 Cr. order book converts this year?" A: "Rs. 100-200 Cr. per year; most projects start FY27E" | Tone: Transparent

• • **Piyashu Jain:** Q: "EBITDA margin guidance for FY27E?" A: "We hope to grow margins by 1% despite VUCA environment, driven by exports and defence" | Tone: Balanced (realistic, not aggressive)

• • **Piyashu Jain:** Q: "Details on Sanand and Supa factories?" A: Detailed explanation of Tenneco DaVinci shock absorber plant (Sanand) and 11-acre multi-process mega-factory (Supa) | Tone: Transparent

• • **Agastya Dave (CAO Capital):** Q: "Why so much capex? What's the visibility?" A: "We've been growing 40-50% pa and space is the constraint; global Tier-1 customers are now giving us global project opportunities" | Tone: Transparent

• • **Agastya Dave:** Q: "Will high capex cause subpar margins and high depreciation?" A: "We go frugal and phased; machines are fungible — one can serve auto and non-auto; depreciation pressure is minimal" | Tone: Transparent, well-reasoned

• • **Vileh Rai (Kamaya):** Q: "Products in aerospace, humanoid, medical?" A: Detailed — defence primers/ammunition/bomb fins; medical orthopedic implant castings; humanoid aluminium cold-plates; aerospace cert in 2 months | Tone: Transparent, specific

• • **Vileh Rai:** Q: "How did you manage tariff situation?" A: "Offered 10% pricing subsidy temporarily; situation resolved, original pricing restoring" | Tone: Honest (not hiding the temporary margin hit)

• • **Soumil Jain (Lucky Securities):** Q: "CV exposure and shock absorber rod share?" A: "CV is ~40-50% of automotive revenue; shock absorber rod ~8-9% of total; doubling to ~Rs. 40 Cr. with Sanand" | Tone: Transparent

• • **Soumil Jain:** Q: "Humanoid — via Tier-1 or directly?" A: "Via Tier-1; aluminium cold-plate assembly for humanoid motors; 4,000+ parts supplied in trial phase" | Tone: Transparent

• • **Deepak Poddar (Sapphire Capital):** Q: "Capex amount and FY27E revenue guidance?" A: "Rs. 15-20 Cr. incremental capex; 40-45% revenue growth this year" | Tone: Transparent

• • **Dodged / watch-list questions:** (1) No hard FY27E revenue target given — management provided only % growth guidance, not absolute; (2) Supa mega-factory total capex not quantified; (3) Humanoid customer name not disclosed (customer confidentiality); (4) Export customer US orders start timeline "next 2-3 months" but no hard commitment.

9. RISKS FLAGGED IN CONCALL

- • **Tariff / Geopolitical uncertainty:** "This has been a challenging year...Iran war is creating a lot of issues for manufacturing" | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-term (ongoing)
- • **Shipping cost increase:** "Shipping costs have gone up, no doubt" | Flagged by: Mgmt | Probability: M (partially structural) | Impact: L-M (manageable via export pricing premium) | Timeline: Near-term
- • **Commodity price volatility (aluminium, oils):** Mentioned proactive inventory build to mitigate | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-term
- • **European auto slowdown:** "Europe is right now in a very tough spot...EV confusion, Chinese EVs" | Flagged by: Mgmt | Probability: H (already happening) | Impact: L-M (ZF volumes stable; focus shifted to US/Mexico) | Timeline: Ongoing
- • **CV cycle moderation in H2 FY27:** Flagged by analyst (Soumil Jain) | Management response: "New CV projects added continuously; optimistic despite moderation" | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- • **Capex overrun / timing risk:** Supa mega-factory has no defined capex budget or timeline | Flagged by: Analyst (Agastya Dave) | Probability: L-M | Impact: H if over-building ahead of revenue | Timeline: Medium-term

10. ANALYST VERDICT

- • **Revenue visibility:** Intact — Rs. 1,200 Cr. order book with legally binding nominations; FY27E export ramp starting Q1 FY27E; management has demonstrated delivery vs. guidance for two consecutive years
- • **Margin trajectory:** Intact — 18% OPM floor established; management guided 1% expansion in FY27E; export pricing premium is the key lever and is quantified (10% over domestic); defensible
- • **Capital allocation quality:** Intact — frugal, phased capex deployment; zero dividend appropriate for growth phase; D/E at 0.40x comfortable; preferential allotments dilutive but productive
- • **Competitive moat:** Intact — multi-process capability widening; supply chain entrenchment with global Tier-1s deepening; entry into defence/humanoid/aerospace adds structural valuation floor
- • **Management credibility:** Intact — beat FY26 guidance (40% guided, 54% delivered) for second consecutive year; Q&A; responses were specific and direct; tariff impact disclosed honestly
- • **Valuation comfort:** Intact but stretched — 51x trailing P/E and 36x FY27E P/E is not cheap for an SME; justified by 40%+ EPS CAGR; watch for any guidance cut or working capital deterioration as these could compress multiple sharply
- • **Conviction call:** Increased — FY26 execution + order book + multi-sector optionality combine to raise confidence in the multi-year thesis
- • **Valuation snapshot:** Trailing P/E = 51x (5Y avg: N/A - listed Oct 2024) | EV/EBITDA = ~35x | ROCE = 19.5% (3Y avg: ~24%) | FCF yield: Negative (growth phase); target P/E = 53x FY27E EPS = Rs. 775 price target